Treasury Bill Market

A market for the purchase and sale of Treasury Bills is known as a "Treasury Bills Market".

6.05.01 Treasury Bills

Treasury bills are very popular and enjoy a higher degree of liquidity since they are issued by the Government. A Treasury bill is nothing but a promissory note issued for a specified period stated therein. The Government promises to pay the specified amount mentioned therein to the bearer of the instrument on the due date. The period does not exceed a period of one year.

General Features

Treasury Bills incorporate the following general features.

1. Issuer
2. Finance Bills
3. Liquidity
4. Vital Source
5. Monetary Management

Types of Treasury Bills

Treasury Bills are issued to the public and other financial institutions for meeting the short-term financial requirements of the Central Government. These bills are freely marketable and they can be bought and sold at any time and these bill are tradable in secondary market as well.

On the basis of periodicity, Treasury Bills may be classified into three. They are:

1) 91 days Treasury Bills
2) 182 days Treasury Bills and
3) 364 days Treasury Bills

Ninety one days Treasury Bills are issued at a fixed discount rate of 4 per cent as well as through auctions. The RBI holds 91 days and 182 Treasury Bills and they are issued on tap basis throughout the week. 364 days Treasury Bills do not carry any fixed rate. The discount rate on these bills are quoted in auction by the participants and accepted by the authorities. Such a rate is called cut off rate.

6.05.02 Certificate of Deposits

Specimen Copy of Certificate of Deposit

Certificate of Deposits are short-term deposit instruments issued by banks and financial institutions to raise large sums of money. Certificate of Deposits are issued in the form of usance promissory notes. They are easily convertible in nature and are in marketable form having particular face value and maturity. The Certificate of Deposit is transferable from one party to another. Due to their negotiable feature, they are also known as negotiable certificate of deposit.

Issuers

The Issuers of Certificate of Deposits are Commercial Banks, Financial Institutions, etc.,

Subscribers

Certificate of Deposits are available for subscription by individuals, corporations, trusts, associations and NRIs. It is a document of title to a time deposit. It is a bearer certificate and is negotiable in the market.

Features of Certificate of Deposit

1. Document of title to time deposit
2. It is unsecured negotiable instruments.
3. It is freely transferable by endorsement and delivery.
4. It is issued at discount to face value.
5. It is repayable on a fixed date without grace days.

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